

CASH **RETAINS** CURRENCY

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DIGITAL TRANSACTIONS ARE growing exponentially. Yet, India continues to deploy more automated teller machines (ATMs), and cash-in-transit (CiT) firms are moving tens of thousands of crores across the country every day. These validate the enduring relevance of cash in a country navigating both digital transformation and infrastructural diversity.

There exists an ecosystem to make cash transactions seamless. For you to pull out cash from an ATM, somebody has put it there. Or, when you pay cash at large retail outlets, it must be taken to a bank where it is sorted to be put back into circulation. This faceless business is carried by CiT firms. The volumes of cash handled are huge. They cart ₹15,000-20,000

crore on our roads every day. This would not have been commercially viable if the popularity of cash had waned.

CASH HASN'T CASHED OUT

Cash is very much in vogue, and that's why the currency-in-circulation (CiC) stood at ₹37.20 lakh crore in FY25, compared to ₹14.5 lakh crore in FY15. This was 11.24% of the gross domestic product (GDP) based on the Reserve Bank of India's (RBI's) weekly statistical supplement for the fortnight ended March 28, 2025. According to data released by the International Monetary Fund, India's GDP doubled in size over the last ten years, and is expected to reach \$4.27 trillion by the end of 2025 from \$2.1 trillion in 2015.

